chapter 18

# Groups and Teams

## Target Skill

**team skill:** the ability to manage a collection of people so that they influence one another toward the accomplishment of an organizational objective(s)

## objectives

To help build my *team skill*, when studying this chapter, I will attempt to acquire:

1. A definition of the term *group* as used in the context of management
2. A thorough understanding of the difference between formal and informal groups
3. Knowledge of the types of formal groups that exist in organizations
4. An understanding of how managers can determine which groups exist in an organization
5. An appreciation for what teams are and how to manage them

# CHALLENGE CASE

## TEAMWORK SPREADS AT XEROX

Xerox Corporation is a global leader in providing document solutions that enhance business productivity. Company focus is on developing, manufacturing, marketing, servicing, and financing a complete range of document-processing products designed to make organizations more productive. The company's digital output includes color copiers and printers with production speeds ranging from 20 to 65 pages per minute.

Xerox manages an extremely complex logistics system that focuses on asset management, which entails tracking and coordinating thousands of pieces of equipment at hundreds of customer work locations. The company must keep track of the specific equipment requirements involving issues such as space, electricity, cooling, network connectivity, supplies, and maintenance. Solutions also have to be developed for helping customer organizations coordinate equipment service, related training, and ordering of supplies from almost anywhere in the world.

Asset management at Xerox also involves the proper billing of customers. Customers must be billed for every single piece of equipment based on its specific usage, and they need invoices that clearly delineate equipment usage costs but don't overwhelm with too much information.

Another component of Xerox's asset management includes providing outstanding service and support to customers who can call a toll-free number with questions, problems, and requests related to thousands of equipment assets. At Xerox, after equipment is sold or leased, the formidable challenge of technical support begins.

According to company officials, asset management at Xerox is a challenging and labor-intensive job. Alan Asher, one of the managers, believes that successful asset management requires a tremendous amount of coordination and is exceedingly difficult to pull off, because you must have processes in place that are really detailed and really tight, or things can fall through the cracks.

The Houston office has had some success because of a small, tightly knit work team, but it has had to confront a serious problem in operations: managing fleets of office equipment at multiple sites from a remote location. Evelyn Grubb, the customer account manager in Houston, explains: "We've got a group of people here that truly works together. It's really a family. Everyone works together. If we didn't have that spirit here, none of this would have happened."

Learning from the success of this team in Houston, Xerox management is encouraging the spread of teamwork into a number of different organizational areas. The company's recent use of teams to design successful new products for the marketplace has been particularly impressive.[1]

*Many of Xerox's most successful initiatives in asset management depend on the work of teams that cooperate closely to keep customers' document-processing products working effectively.*

## EXPLORING YOUR MANAGEMENT SKILL

You can explore your level of team skill **before** studying the chapter by completing the exercise "Exploring Your Management Skill: Part 1" on page 443 and **after** studying this chapter by completing the exercise "Exploring Your Management Skill: Part 2" on page 444.

## THE TEAM CHALLENGE

The Challenge Case highlights the important role that teams play in the success of operations at Xerox. The material in this chapter should help managers, such as those at Xerox, gain insights about how to successfully manage teams. This chapter (1) defines groups, (2) discusses the kinds of groups that exist in organizations, (3) explains what steps managers should take to manage groups appropriately, and (4) explains team management.

The previous chapters in Part 5 dealt with three primary activities of the influencing function: communication, leadership, and motivation. This chapter focuses on managing teams, the last major influencing activity to be discussed in this text. As with the other three activities, managing teams requires guiding the behavior of organization members in ways that increase the probability of reaching organizational objectives.

## GROUPS

To deal with groups appropriately, managers must have a thorough understanding of the nature of groups in organizations.[2] As used in management-related discussions, a **group** is not simply a gathering of people. Rather, it is "any number of people who (1) interact with one another, (2) are psychologically aware of one another, and (3) perceive themselves to be a group."[3] Groups are characterized by frequent communication among members over time and a size small enough to permit each member to communicate with all other members on a face-to-face basis. As a result of this communication, each group member influences and is influenced by all other group members.

The study of groups is important to managers because the most common ingredient of all organizations is people and the most common technique for accomplishing work through these people is dividing them into work groups. In a classic article, Cartwright and Lippitt list four additional reasons why managers should study groups:[4]

1. Groups exist in all kinds of organizations.
2. Groups inevitably form in all facets of organizational existence.
3. Groups can cause either desirable or undesirable consequences within the organization.
4. An understanding of groups can help managers raise the probability that the groups with which they work will cause desirable consequences within the organization.[5]

## KINDS OF GROUPS IN ORGANIZATIONS

Organizational groups are typically divided into two basic types: formal and informal.

### Formal Groups

A **formal group** is a group that exists within an organization by virtue of management decree to perform tasks that enhance the attainment of organizational objectives.[6] Figure 18.1 is an organization chart showing a formal group. The placements of organization members in such areas as marketing departments, personnel departments, and production departments are examples of establishing formal groups.

Actually, organizations are made up of a number of formal groups that exist at various organizational levels. The coordination of and communication among these groups is the responsibility of managers, or supervisors, commonly called "linking pins."

Formal groups are clearly defined and structured. The next sections discuss the basic kinds of formal groups, examples of formal groups as they exist in organizations, and the four stages of formal group development.

**Kinds of Formal Groups** Formal groups are commonly divided into command groups and task groups. A **command group** is a formal group that is outlined in the chain of

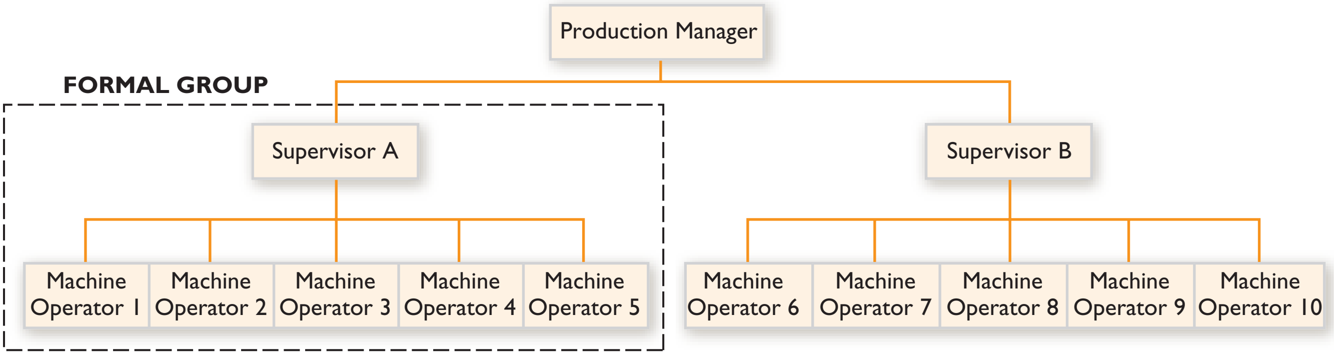



**FIGURE 18.1** A formal group

command on an organization chart. Command groups typically handle routine organizational activities.

A **task group** is a formal group of organization members who interact with one another to accomplish most of the organization's nonroutine tasks. Although task groups are usually made up of members on the same organizational level, they can consist of people from different levels in the organizational hierarchy.[7] For example, a manager might establish a task group to consider the feasibility of manufacturing some new product and include representatives from various levels of such organizational areas as production, market research, and sales.[8]

**Examples of Formal Groups** Two formal groups that are often established in organizations are committees and work teams. Committees are the more traditional formal group; work teams have only recently gained acceptance and support in U.S. organizations. The part of this text dealing with the managerial function of organizing emphasized command groups; however, the examples here emphasize task groups.

**Committees** A **committee** is a group of individuals charged with performing some type of specific activity and is usually classified as a task group. From a managerial viewpoint, committees are established for four major reasons:[9]

1. To allow organization members to exchange ideas
2. To generate suggestions and recommendations that can be offered to other organizational units
3. To develop new ideas for solving existing organizational problems
4. To assist in the development of organizational policies.

Committees exist in virtually all organizations and at all organizational levels. As Figure 18.2 suggests, however, the larger the organization, the greater the probability that it will use committees on a regular basis. The following two sections discuss why managers should use committees and what makes a committee successful.

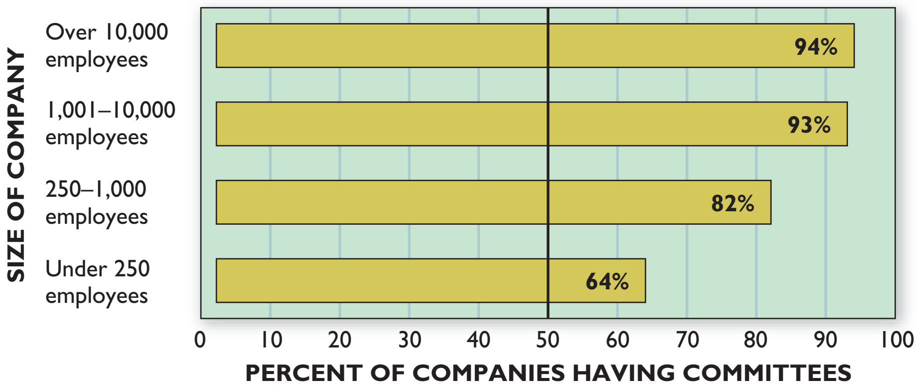



**FIGURE 18.2** Percent of companies that have committees, by size of company

A committee is a team charged with a specific task. It is most successful when that task is clearly defined and the committee is given appropriate authority for decision making.

**Why Managers Should Use Committees** Managers generally agree that committees have several uses in organizations.

- Committees can improve the quality of decision making. As more people become involved in making a decision, the strengths and weaknesses of various alternatives tend to be discussed in greater detail and the chances of reaching a higher-quality decision increase.
- Committees encourage the expression of honest opinions. Committee members feel protected enough to say what they really think because the group output of a committee cannot be associated with any one member of that group.
- Committees also tend to increase organization members' participation in decision making and thereby enhance the chances of widespread support of decisions. Another result of this increased participation is that committee members satisfy their social or self-esteem needs through committee work.
- Finally, committees ensure the representation of important groups in the decision-making process. Managers must choose committee members wisely, however, to achieve appropriate representation, for if a committee does not adequately represent various interest groups, any decision it comes to may well be counter to the interests of some important organizational group.

## how managers do it

### Committee for Recruitment at Red Robin Gourmet Burgers

Committees are often used to recruit new organization members. Consider, for example, the case of Red Robin Gourmet Burgers, a national chain of casual dining restaurants. Two activist investor groups that own nearly 8 percent of Red Robin stock filed a complaint with the Securities and Exchange Commission over the performance of the board and the company's chief executive. The company later announced several changes to its board structure. In addition, the board of directors agreed to form a search committee to identify a new chief executive. The search committee consists of the board chair and three new directors approved by the investor groups.[10] ■

Although executives vary somewhat in their enthusiasm about using committees in organizations, a study reported by McLeod and Jones concludes that most executives favor using committees. The executives who took part in this study said they got significantly more information from organizational sources other than committees, but found the information from committees more valuable than the information from any other source. Nevertheless, some top executives express only qualified support for using committees as work groups, and others had negative feelings toward committees. Still, the executives who feel positively about committees or who display qualified acceptance of them in general outnumber those who look upon committees negatively.

**What Makes Committees Successful** Although committees have become an accepted management tool, managerial action taken to establish and run them is a major variable in determining their degree of success.

***Procedural Steps*** Several procedural steps can be taken to increase the probability that a committee will be successful:[11]

- The committee's goals should be clearly defined, preferably in writing, to focus the committee's activities and reduce the time members devote to discussing just what it is the committee is supposed to be doing.
- The committee's authority should be specified. Is it merely to investigate, advise, and recommend, or is it authorized to implement decisions?
- The optimum size of the committee should be determined. With fewer than 5 members, the advantages of group work may be diminished. With more than 10 or 15 members, the committee may become unwieldy. Although optimal size varies with circumstances, the ideal number of committee members for most tasks seems to be from 5 to 10.
- A chairperson should be selected on the basis of ability to run an efficient meeting—that is, the ability to keep committee members from getting bogged down in irrelevancies and to see to it that the necessary paperwork gets done.
- Appointing a permanent secretary to handle communications is often useful.
- The agenda and all supporting material for the meeting should be distributed before the meeting takes place. When members have a chance to study each item beforehand, they are likely to stick to the point and be prepared to make informed contributions.
- Meetings should start on time, and their ending time should be announced at the outset.

***People-Oriented Guidelines*** In addition to these procedural steps, managers can follow a number of more people-oriented guidelines to increase the probability that a committee will succeed. In particular, a manager can raise the quality of committee discussions by doing the following:[12]

- **Rephrasing ideas already expressed**—This rephrasing ensures that the manager as well as other people on the committee clearly understand what has been said.
- **Bringing all members into active participation**—Every committee member is a potential source of useful information, so the manager should serve as a catalyst to spark individual participation whenever appropriate.
- **Stimulating further thought by members**—The manager should encourage committee members to think ideas through carefully and thoroughly, for only this type of analysis will generate high-quality committee output.

***Groupthink*** Managers should also help the committee avoid a phenomenon called "groupthink." **Groupthink** is the mode of thinking that group members engage in when the desire for agreement so dominates the group that it overrides the need to realistically appraise alternative problem solutions.[13] Groups tend to slip into groupthink when their members become overly concerned about being too harsh in judging one another's ideas and lose their objectivity.[14] Such groups tend to seek complete support on every issue to avoid conflicts that might endanger the "we-feeling" atmosphere.[15]

*Groupthink*, a term initially established by Irving Janis, occurs in five stages. The first stage, antecedents, describes what precursors are associated with the development of groupthink. For example, a group with a high level of cohesiveness is likely to be susceptible to groupthink. The second stage, concurrence seeking, occurs when a group member agrees with the entire group's position, even when the group member might privately oppose the entire group's position. The third stage, symptoms of groupthink, occurs as group members feel pressure to conform and censor their own ideas. The fourth stage, decision-making defects, occurs when group members fail to make effective decisions. An example of decision-making defects occurs when a group does not collect the needed information to make an effective decision. The fifth stage, poor decision outcomes, occurs when the group performs poorly.

Often, managers unconsciously rely on the people they know best as a sounding-board for decision making. They look to their own small group of friends or colleagues in the workplace to help them analyze situations. Their regular interaction with this "informal network" may bias their thinking and create its own type of groupthink. Managers must be aware of how this phenomenon can affect their decisions. They need to recognize the different types and stages of groupthink so that they can be identified and rectified objectively in the workplace.[16]

**Work Teams** A **work team** is another example of a task group used in organizations. Contemporary work teams in the United States evolved out of the problem-solving teams—based on Japanese-style quality circles—that were widely adopted in the 1970s.[17] Problem-solving teams consist of 5 to 12 volunteer members from different areas of the department who meet weekly to discuss ways to improve quality and efficiency.

Special-Purpose and Self-Managed Teams Special-purpose teams evolved in the early to middle 1980s out of problem-solving teams. The typical special-purpose team consists of workers and union representatives meeting together to collaborate on operational decisions at all levels. The aim is to create an atmosphere conducive to quality and productivity improvements.

Special-purpose teams laid the foundation for the self-managed work teams that arose in the 1990s, and it is these teams that appear to be the wave of the future. Self-managed teams consist of 5 to 15 employees who work together to produce an entire product. Members learn all the tasks required to produce the product and rotate from job to job. Self-managed teams even take over such managerial duties as scheduling work and vacations and ordering materials. Because these work teams give employees so much control over their jobs, they represent a fundamental change in how work is organized. (Self-managed teams will be discussed in some detail later in this chapter.)

Employing work teams allows a firm to draw on the talent and creativity of all its employees, not just a few maverick inventors or top executives, to make important decisions. As product quality becomes more and more important in the business world, companies will need to rely more and more on the team approach to stay competitive. Consider a recent situation at Yellow Freight Systems, a shipping company whose management was intent on giving its customers excellent service. To address this concern, management established a work team made up of employees from many different parts of the company, including marketing, sales, operations, and human resources. The overall task of the work team was to run an excellence-in-service campaign that management had initiated.[18]

**Stages of Formal Group Development** Another requirement for successfully managing formal groups is understanding the stages of formal group development. In a classic book, Bernard Bass suggested that group development is a four-stage process that unfolds as the group learns how to use its resources.[19] Although these stages may not occur sequentially, for the purpose of clarity, the discussion that follows will assume that they do.

**The Acceptance Stage** It is common for members of a new group to mistrust one another somewhat initially. The acceptance stage occurs only after this initial mistrust melts and the group has been transformed into one characterized by mutual trust and acceptance.

**The Communication and Decision-Making Stage** Once they have passed through the acceptance stage, group members are better able to communicate frankly with one another. This frank communication provides the basis for establishing and using an effective group decision-making mechanism.

**The Group Solidarity Stage** Group solidarity comes naturally as the mutual acceptance of group members increases and communication and decision making continue within the group. At this stage, members become more involved in group activities and cooperate, rather than compete, with one another. Members find belonging to the group extremely satisfying and are committed to enhancing the group's overall success.

**The Group Control Stage** A natural result of group solidarity is group control. In this stage, group members attempt to maximize the group's success by matching individual abilities with group activities and by assisting one another. Flexibility and informality usually characterize this stage.

As a group passes through each of these four stages, it generally becomes more mature and effective—and therefore more productive. The group that reaches maximum maturity and effectiveness is characterized by the following traits in its members:

- **Members function as a unit**—The group works as a team. Members do not disturb one another to the point of interfering with their collaboration.
- **Members participate effectively in group effort**—Members work hard when there is something to do. They seldom loaf, even if they have the opportunity to do so.
- **Members are oriented toward a single goal**—Group members work for the common purpose; they do not waste group resources by moving in different directions.
- **Members have the equipment, tools, and skills necessary to attain the group's goals**—Members are taught the various parts of their jobs by experts and strive to acquire whatever resources they need to attain group objectives.
- **Members ask and receive suggestions, opinions, and information from one another**—A member who is uncertain about something stops working and asks another member for information. Group members generally talk to one another openly and frequently.

## Informal Groups

Informal groups, the second major kind of group that can exist within an organization, are groups that develop naturally as people interact. An **informal group** is defined as a collection of individuals whose common work experiences result in the development of a system of interpersonal relations that extend beyond those established by management.[20]

As Figure 18.3 shows, informal group structures can deviate significantly from formal group structures. As is true of Supervisor A in the figure, an organization member can belong to more than one informal group at the same time. In contrast to formal groups, informal groups are not highly structured in procedure and, while generally they are not formally recognized by management, some organizations have seen the value of integrating informal groups into their corporate structure.[21]

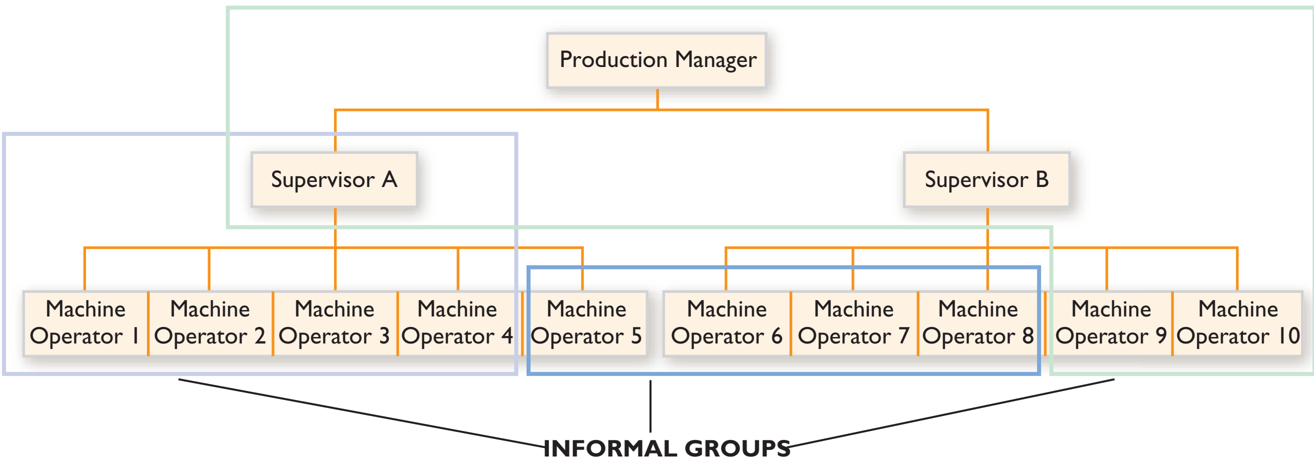



**FIGURE 18.3** Three informal groups that deviate significantly from formal groups within the organization

The next sections discuss the following subjects:

1. Various kinds of informal groups that exist in organizations
2. The benefits people usually reap from belonging to informal groups

**Kinds of Informal Groups** Informal groups are divided into two general types: interest groups and friendship groups. An **interest group** is an informal group that gains and maintains membership primarily because of a common concern members have about a specific issue. An example is a group of workers pressing management for better pay or working conditions. Once the interest or concern that instigated the formation of the informal group has been eliminated, the group will probably disband.

As its name implies, a **friendship group** is an informal group that forms in organizations because of the personal affiliation members have with one another. Such personal factors as recreational interests, race, gender, and religion serve as foundations for friendship groups. As with interest groups, the membership of friendship groups tends to change over time. Here, however, membership changes as friendships dissolve or new friendships are made.

**Benefits of Informal Group Membership** Informal groups tend to develop in organizations because of various benefits group members obtain:[22]

1. Perpetuation of social and cultural values that group members consider important
2. Status and social satisfaction that people might not enjoy without group membership
3. Increased ease of communication among group members
4. Increased desirability of the overall work environment

These benefits may be one reason that employees who are on fixed shifts or who continually work with the same groups tend to be more satisfied with their work than employees whose shifts are continually changing.

## MANAGING WORK GROUPS

To manage work groups effectively, managers must simultaneously consider the effects of both formal and informal group factors on organizational productivity. This consideration requires two steps:

1. Determining group existence
2. Understanding the evolution of informal groups

### Determining Group Existence

The most important step managers need to take in managing work groups is to determine what informal groups exist within the organization and who their members are. **Sociometry** is an analytical tool managers can use for this purpose. They can also use sociometry to get information on the internal workings of an informal group, including the identity of the group leader, the relative status of group members, and the group's communication networks.[23] This information on informal groups, combined with an understanding of the established formal groups shown on the organization chart, will give managers a complete picture of the organization's group structure.

**Sociometric Analysis** The procedure for performing a sociometric analysis in an organization is quite basic. Various organization members simply are asked, through either an interview or a questionnaire, to name several other organization members with whom they would like to spend free time. A **sociogram** is then constructed to summarize the informal relationships among group members. Sociograms are diagrams that visually link individuals

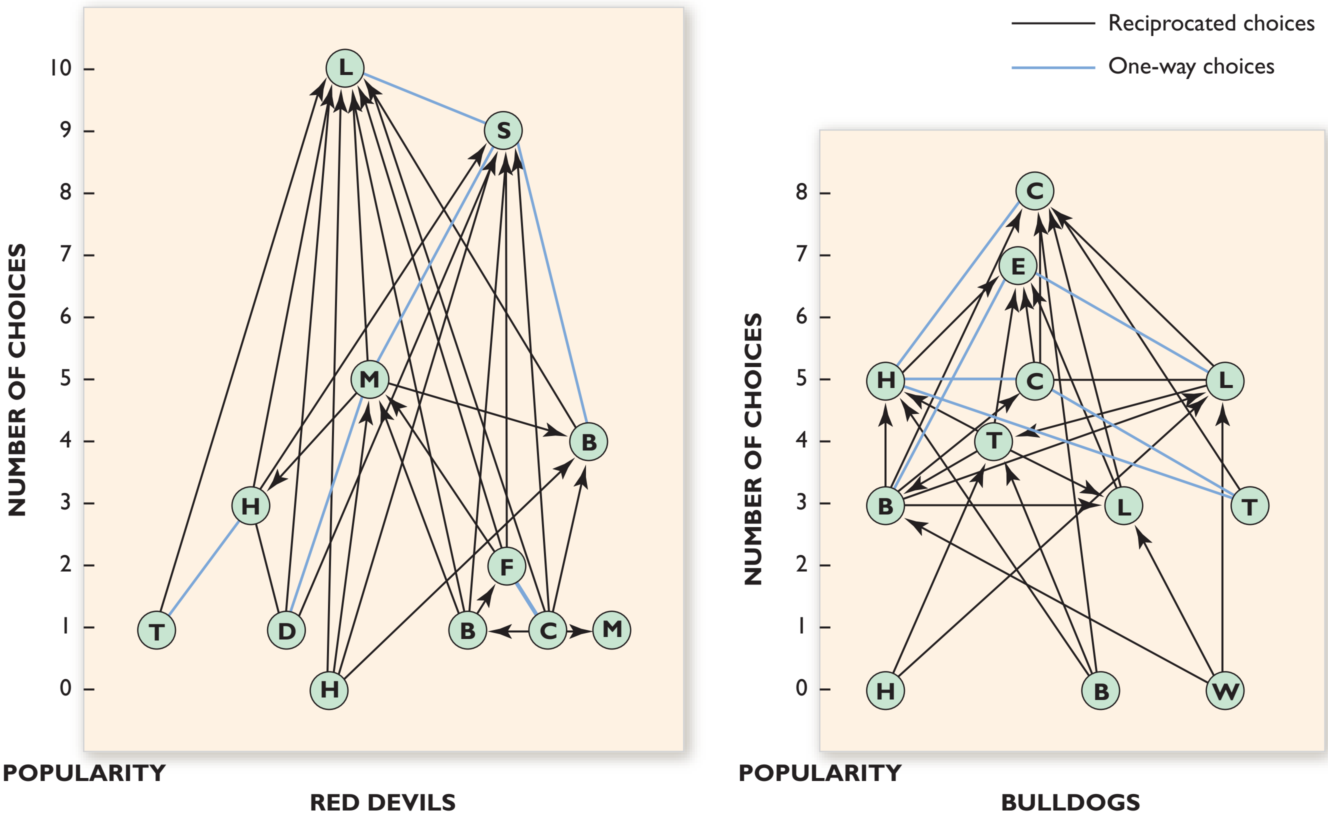



**FIGURE 18.4** Sample sociograms

within the population queried according to the number of times they were chosen and whether the choice was reciprocated.

**Applying the Sociogram Model** Figure 18.4 shows two sample sociograms based on a classic study of two groups of boys in a summer camp—the Bulldogs and the Red Devils. An analysis of these sociograms leads to several interesting conclusions. First, more boys within the Bulldogs than within the Red Devils were chosen as being desirable to spend time with. The implication is that the Bulldogs are a closer-knit informal group than the Red Devils. Second, the greater the number of times an individual was chosen, the more likely it was that the individual would be the group leader. Thus, individuals C and E in Figure 18.4 are probably Bulldog leaders, while L and S are probably Red Devil leaders. Third, communication between L and most other Red Devils members is likely to occur directly, whereas communication between C and other Bulldogs is likely to pass through other group members.

Sociometric analysis can give managers many useful insights concerning the informal groups within their organization. Managers who do not want to perform a formal sociometric analysis can at least casually gather information on what form a sociogram might take in a particular situation. They can pick up this information through normal conversations with other organization members as well as through observations of how various organization members relate to one another.

## Understanding the Evolution of Informal Groups

As we have seen, the first prerequisite for managing groups effectively is knowing what groups exist within an organization and what characterizes the membership of those groups. The second prerequisite is understanding how informal groups evolve. This understanding will give managers

Informal groups like this one provide status, social satisfaction, and ease of communication among members, as well as other personal and organizational benefits.

some insights on how to encourage the development of appropriate informal groups, that is, groups that support the attainment of organizational objectives and whose members maintain good relationships with formal work groups.

**Homans Model** Perhaps the most widely accepted framework for explaining the evolution of informal groups was developed by George Homans.[24] Figure 18.5 broadly summarizes his theory. According to Homans, the informal group is established to provide satisfaction and growth for its members. At the same time, the sentiments, interactions, and activities that emerge within an informal group result from the sentiments, interactions, and activities that already exist within a formal group. Given these two premises, it follows that feedback on the functioning of the informal group can give managers ideas about how to modify the formal group so as to increase the probability that informal group members will achieve the satisfaction and growth they desire. The ultimate consequence will be to reinforce the solidarity and productiveness of the formal group—to the advantage of the organization.

**Applying the Homans Model** To see what Homans's concept involves, suppose that 12 factory workers are members of a formal work group that manufactures toasters. According to Homans, as these workers interact to assemble toasters, they might discover common personal interests that encourage the evolution of one or more informal groups that would maximize the satisfaction and growth of their members. Once established, these informal groups will probably resist changes in the formal work group that threaten the satisfaction and growth of the informal group's members. On the other hand, modifications in the formal work group that enhance the satisfaction and growth of the informal group's members will tend to be welcomed.

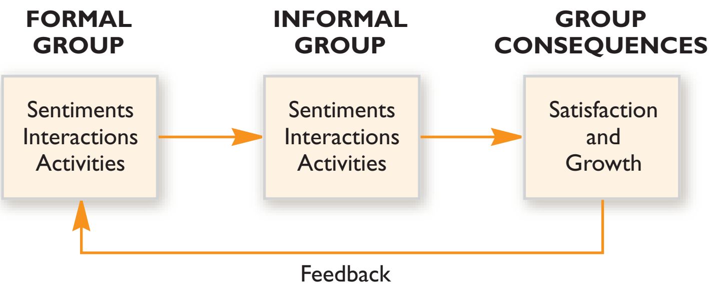



**FIGURE 18.5**
Homans's ideas on how informal groups develop

# TEAMS

The preceding sections of this chapter discussed groups—what they are, what kinds exist in organizations, and how such groups should be managed. This section focuses on a special type of group: teams. It covers the following topics:

1. Difference between groups and teams
2. Types of teams that exist in organizations
3. Stages of development that teams go through
4. What constitutes an effective team
5. Relationship between trust and team effectiveness

## Groups Versus Teams

The terms *group* and *team* are not synonymous. As we have seen, a group consists of any number of people who interact with one another, are psychologically aware of one another, and think of themselves as a group. A **team** is a group whose members influence one another toward the accomplishment of an organizational objective(s).

Not all groups in organizations are teams, but all teams are groups. A group qualifies as a team only if its members focus on helping one another accomplish organizational objectives.[25] In today's quickly changing business environment, teams have emerged as a requirement for success.[26] Therefore, good managers constantly try to help groups become teams.

**how managers do it**

**Building a Team at Renaissance Executive Forums**

A team-building exercise is a training tool for helping to transform a group into a team. For Ken Keller, the owner of Renaissance Executive Forums, it meant bringing his group to a Sonoma, California, vineyard, dividing people into teams, and challenging them to create their own wine. Teams had to collaborate to come up with a wine from the basic ingredients provided, then design a label and a marketing strategy. Keller says team-building exercises work because they require a group to focus on an unfamiliar task and work together to achieve a goal.[27] ■


Teams operate in all kinds of situations. The members of NASCAR driver Greg Biffle's pit crew must depend on one another to get the job done, with each contributing expertise in a particular task.

The questions of how teams plan, set goals, and make decisions continue to be the subject of much field research.[28] The following part of the chapter provides insights on how managers can facilitate the evolution of groups into teams.

## Types of Teams in Organizations

Organizational teams take many different forms. The following sections discuss three types of teams commonly found in today's organizations: problem-solving teams, self-managed teams, and cross-functional teams.

**Problem-Solving Teams** Management confronts many different organizational problems daily. Examples are production systems that are not manufacturing products at the desired levels of quality, workers who appear to be listless and uninvolved, and managers who are basing their decisions on inaccurate information.

For assistance in solving such formidable problems, management commonly establishes special teams. A team set up to help eliminate a specified problem within the organization is called a **problem-solving team**.[29] The typical problem-solving team has 5 to 12 members and is formed to discuss ways to improve quality in all phases of the organization, to make organizational processes more efficient, or to improve the overall work environment.[30]

After the problem-solving team reaches a consensus, it makes recommendations to management about how to deal with the specified problem. Management may respond to the team's recommendations by implementing them in their entirety, by modifying and then implementing them, or by requesting further information to assess them. Once the problem that management asked the problem-solving team to address has been solved, the team is generally disbanded.

**Self-Managed Teams** The **self-managed team**, sometimes called a *self-managed work group* or *self-directed team*, is a team that plans, organizes, influences, and controls its own work situation with only minimal intervention and direction from management.[31] This creative team design involves a highly integrated group of several skilled individuals who are cross-trained and have the responsibility and authority to perform some specified activity.

Activities typically carried out by management in a traditional work setting—creating work schedules, establishing work pace and breaks, developing vacation schedules, evaluating performance, determining the level of salary increases and rewards received by individual workers, and ordering materials to be used in the production process—are instead carried out by members of the self-managed team. Generally responsible for whole tasks as opposed to "parts" of a job, the self-managed team is an important new way of structuring, managing, and rewarding work.[32] Because these teams require only minimum management attention, they free managers to pursue other management activities such as strategic planning.

Reports of successful self-managed work teams are plentiful.[33] These teams are growing in popularity because today's business environment seems to require such work teams to solve complex problems independently, because American workers have come to expect more freedom in the workplace, and because the speed of technological change demands that employees be able to adapt quickly. Recent studies seem to suggest that the collective behavior of a self-managed team can make it more effective than the individual efforts of its team members.[34]

Not all self-managed teams are successful. To ensure the success of a self-managed team, the manager should carefully select and properly train its members.[35]

**Cross-Functional Teams** A **cross-functional team** is a work team composed of people from different functional areas of the organization—marketing, finance, human resources, and operations, for example—who are all focused on a specified objective.[36] Cross-functional teams may or may not be self-managed, though self-managed teams are generally cross-functional. Because cross-functional team members are from different departments within the organization, the team possesses the expertise to coordinate all the department activities within the organization that affect its own work.[37]

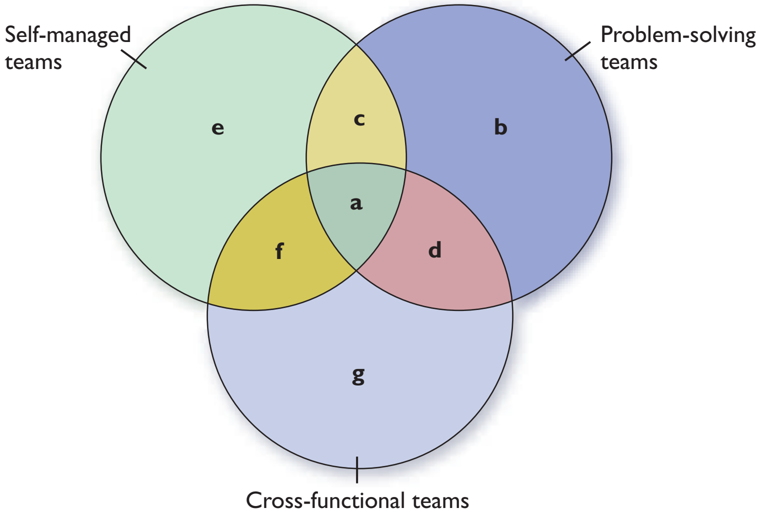



**FIGURE 18.6**
Possible team types based on various combinations of self-directed, problem-solving, and cross-functional teams

Some examples of cross-functional teams are teams established to choose and implement new technologies throughout the organization, teams formed to improve marketing effectiveness within the organization, and teams established to control product costs.[38]

This section discussed three types of teams that exist in organizations: problem-solving, self-directed, and cross-functional. It should be noted here that managers can establish various combinations of these three types of teams. Figure 18.6 illustrates some possible combinations that managers could create. For example, *a* in the figure represents a team that is problem-solving, self-directed, and cross-functional, while *b* represents one that is problem-solving, but neither cross-functional nor self-directed. Before establishing a team, managers should carefully study their own unique organizational situation and set up the type of team that best suits that situation.

## STAGES OF TEAM DEVELOPMENT

More and more modern managers are using work teams to accomplish organizational tasks. Simply establishing such a team, however, does not guarantee it will be productive. In fact, managers should be patient when an established work team is not initially productive, for teams generally need to pass through several developmental stages before they become productive. Managers must understand this developmental process so they can facilitate it. The following sections discuss the various stages a team usually must pass through before it becomes fully productive.[39]

### Forming

**Forming** is the first stage of the team development process. During this stage, members of the newly formed team become oriented to the team and acquainted with one another. This period is characterized by exploring issues related to the members' new job situation, such as what is expected of them, who has what kind of authority within the team, what kind of people are team members, and what skills team members possess.

The forming stage of team development is usually characterized by uncertainty and stress. Recognizing that team members are struggling to adjust to their new work situations and to one another, managers should be tolerant of lengthy, informal discussions exploring team specifics and not regard them as time wasters. The newly formed team must be allowed an exploratory period if it is to become truly productive.

### Storming

After a team has formed, it begins to storm. **Storming**, the second stage of the team development process is characterized by conflict and disagreement as team members become more assertive in clarifying their individual roles. During this stage, the team seems to lack unity because members are continually challenging the way the team functions.

To help the team progress beyond storming, managers should encourage team members to feel free to disagree with any team issues and to discuss their own views fully and honestly. Most of all, managers should urge team members to arrive at agreements that will help the team reach its objective(s).

**Norming** When the storming stage ends, norming begins. **Norming**, the third stage of the team development process, is characterized by agreement among team members on roles, rules, and acceptable behavior while working on the team. Conflicts generated during the storming stage are resolved in this stage.

Managers should encourage teams that have entered the norming stage to progress toward developing team norms and values that will be instrumental in building a successful organization. The process of determining what behavior is and is not acceptable within the team is critical to the work team's future productivity.

**Performing** The fourth stage of the team development process is **performing**. At this stage, the team fully focuses on solving organizational problems and on meeting assigned challenges. The team is now productive: After successfully passing through the earlier stages of team development, it knows itself and has settled on team roles, expectations, and norms.

During this stage, managers should recognize the team's accomplishments regularly, for productive team behavior must be reinforced to enhance the probability that it will continue in the future.

**Adjourning** The fifth, and last, stage of the team development process is known as **adjourning**. Now the team is finishing its job and preparing to disband. This stage normally occurs only in teams established for some special purpose to be accomplished in a limited time period. Special committees and task groups are examples of such teams. During the adjourning stage, team members generally feel disappointment that their team is being broken up because disbandment means the loss of personally satisfying relationships or an enjoyable work situation.

During this phase of team development, managers should recognize team members' disappointment and sense of loss as normal and assure them that other challenging and exciting organizational opportunities await them. It is important that management then do everything necessary to integrate these people into new teams or other areas of the organization.

Although some work teams do not pass through every one of the development stages just described, understanding the stages of forming, storming, norming, performing, and adjourning will give managers many useful insights on how to build productive work teams. Above all, managers must realize that new teams are different from mature teams and that their challenge is to build whatever team they are in charge of into a mature, productive work team.[40]

## Team Effectiveness

Earlier in this chapter, teams were defined as groups of people who influence one another to reach organizational targets. It is easy to see why effective teams are critical to organizational success. Effective teams are those that come up with innovative ideas, accomplish their goals, and adapt to change when necessary.[41] Their individual members are highly committed to both the team and organizational goals. Such teams are highly valued by upper management and recognized and rewarded for their accomplishments.[42] Recent research suggests that a high level of mutual trust within a team can have a positive effect on the team's performance and result in even more rewards from management.[43]

Figure 18.7 sketches the characteristics of an effective team. Note the figure's implications for the steps managers need to take to build effective work teams in organizations. *People-related steps* include the following: [44]

1. Trying to make the team's work satisfying
2. Developing mutual trust among team members and between the team and management
3. Building good communication—from management to the team as well as within the team

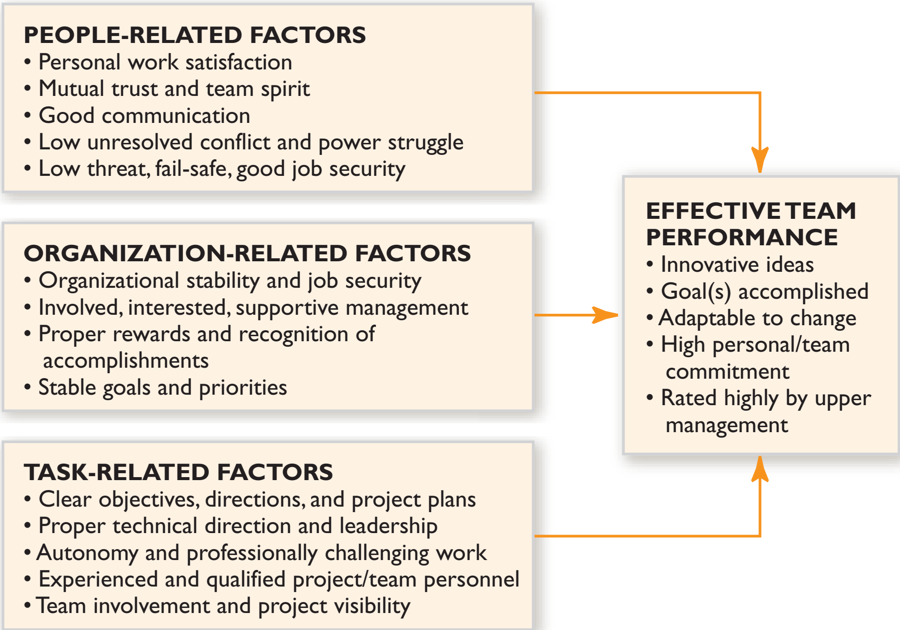



**FIGURE 18.7**
Factors contributing to team effectiveness

4. Minimizing unresolved conflicts and power struggles within the team
5. Dealing effectively with threats toward and within the team
6. Building the perception that the jobs of team members are secure

*Organization-related steps* managers can take to build effective work teams include:

1. Building a stable overall organization or company structure that team members view as secure
2. Becoming involved in team events and demonstrating interest in team progress and functioning
3. Properly rewarding and recognizing teams for their accomplishments
4. Setting stable goals and priorities for the team

Finally, Figure 18.7 implies that managers can build effective work teams by taking six *task-related steps:*

1. Developing clear objectives, directions, and project plans for the team
2. Providing proper technical direction and leadership for the team
3. Establishing autonomy for the team and challenging work within the team
4. Appointing experienced and qualified team personnel
5. Encouraging team involvement
6. Building visibility within the organization for the team's work

Modern managers must focus on building the effectiveness of not only domestic teams, but global teams. In the past, the effectiveness of a global team depended chiefly on a company having staff and factories on the ground in various countries and corporate headquarters carefully and methodically coordinating their activities. Today, however, the challenge is much different. Globally dispersed teams must be built into highly effective, sometimes even self-managed teams. Because of the ever-changing and fast-moving nature of the competition, workers spread across the globe must be able to communicate and collaborate instantly. Fortunately for modern managers, the Internet is available to enable such collaboration. Managers must remember, however, that the availability of the Internet in itself does not guarantee that global teams will be effective. The appropriate use of the Internet by global teams, however, can be a significant contributor to their effectiveness.

## class discussion highlight

### MODERN RESEARCH AND TEAM SKILL

Which Individuals Most Influence Team Decisions?

All teams rely on input from multiple team members. Nonetheless, most individuals who have been in teams know that some team members have more influence than others. A team of researchers recently studied a number of teams to better understand the characteristics of those individuals who provided the most influence in team decisions.

One of the factors that the authors investigated is known as "trait dominance." As its name implies, trait dominance describes individuals who are dominant, assertive, and forceful. The study, then, examined the extent to which dominant individuals influenced team decisions. In addition, the researchers studied team members' opinions of dominant individuals.

What do you think the researchers found? Do you think the dominant individuals influenced team decision making? Do you think team members viewed dominant individuals positively or negatively? Why?

*Source:* Anderson, C. and Kilduff, G. J. "Why do Dominant Personalities Attain Influence in Face-to-Face Groups? The Competence-Signaling Effects of Trait Dominance," *Journal of Personality and Social Psychology* 96, no. 2 (2009): 491–503.

## Trust and Effective Teams

Probably the most fundamental ingredient of effective teams is trust. Trust is belief in the reliance, ability, and integrity of another. Unless team members trust one another, the team leader, and management, managers may well find that building an effective work team is impossible.[45]

Today the concern is that management is not inspiring the kind of trust that is essential to team effectiveness. The lack of trust within a team is likely to discourage individuals on the team from contributing and participating in the growth of a creative, productive team.[46] In addition, subordinates' trust in their managers is critically low, and employee opinion polls indicate that it may well decline even further in the future. Without trust in its manager, a team would seem only marginally interested in building productive working relationships.

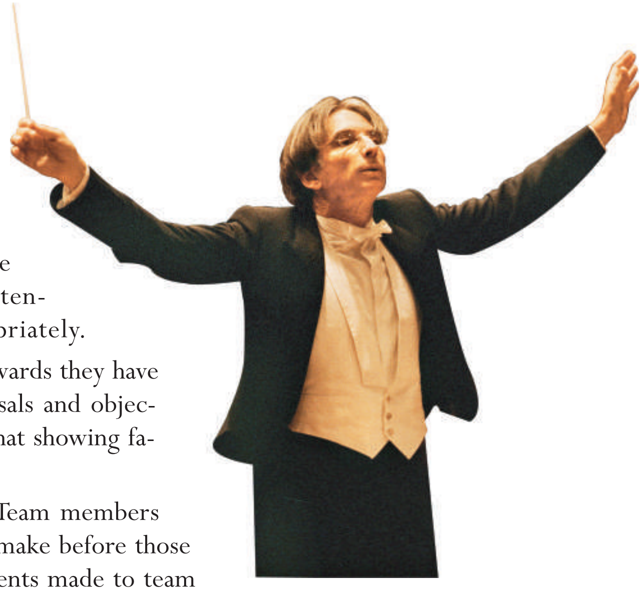
Management urgently needs to focus on reversing this trend.[47] Managers can use a number of different strategies to build trust within groups.[48]

### how managers do it

#### Building Trust at Burberry

As an example of a manager communicating often with team members to build trust, consider Burberry president Angela Ahrendts. Burberry, the quintessential British fashion house, offers British fashion elegance throughout the world. Ahrendts has become known as a people-oriented manager, communicating often with members of her team. According to Stacey Cartwright, the company's chief financial officer, Ahrendts is collaborative, likes to gather her team around her, and seems energized by the debates within the team. Ahrendts knows that such communication with her team will almost certainly help build trust within the team, which should significantly contribute to team success.[49] ■

- **Communicate often to team members**—This is a fundamental strategy. Keeping team members informed of organizational news, explaining why certain decisions have been made, and sharing information about organizational operations are examples of how managers should communicate to team members.
- **Show respect for team members**—Managers need to show team members they are highly valued. They can demonstrate their respect for team members by delegating tasks to them, listening intently to feedback from the group, and acting on it appropriately.
- **Be fair to team members**—Team members must receive the rewards they have earned. Managers must therefore conduct fair performance appraisals and objectively allocate and distribute rewards. It should go without saying that showing favoritism in this area sows mistrust and resentment.
- **Be predictable**—Managers must be consistent in their actions. Team members should usually be able to forecast what decisions management will make before those decisions are made. Moreover, managers must live up to commitments made to team members. Managers who make inconsistent decisions and fail to live up to commitments will not be trusted by teams.
- **Demonstrate competence**—To build team trust, managers must show team members they are able to diagnose organizational problems and have the skill to implement solutions to those problems. Team members tend to trust managers they perceive as competent and distrust those they perceive as incompetent.



Effective teamwork is built on trust. When conductor Michael Tilson-Thomas works with an orchestra, he trusts the musicians to know their parts thoroughly, while they trust his vision of the music they are to perform.

## CHALLENGE CASE SUMMARY

For managers to be able to manage work they need to understand the definition of the term *group,* and they need to understand that several types of groups exist in organizations. A group at Xerox or any other organization is any number of people who interact, who are psychologically aware of each other, and who perceive themselves as a group. A company such as Xerox is made up of formal groups, the groups that appear on the company's organization charts, such as the marketing department. Managers of groups act as the "linking pins" among departments. The ability of Xerox managers to coordinate and communicate with these groups and their success in dealing with their own departments are certainly important factors in the future success of the company as a whole.

At times, managers at Xerox can form new groups to handle some of the more nonroutine challenges. For example, management could form a task group by choosing two people from each of several different departments and getting them together on developing a new and more efficient system for improving company asset management procedures. Then, as with any other organization, Xerox also has informal groups (those that do not appear on the organization chart) to consider. More discussion on informal groups will follow later in this Challenge Case Summary.

Xerox management could decide to form a committee to achieve some specific goal. For example, a committee might be formed on how to enhance the quality of copiers offered by Xerox, which could allow various departments to exchange quality improvement ideas and generate related suggestions to management. Such a committee could improve Xerox decision making in general by encouraging honest feedback from employees about quality issues in the organization. It could also be used to get fresh ideas about enhancing product quality, and to encourage Xerox employees to participate more seriously in improving the quality of equipment offered by the company. This approach would help ensure that all appropriate departments are represented in important quality decisions, so when Xerox takes action to improve the quality of its copiers, for example, every important angle would be considered, including design, production, marketing, sales, and so on.

In managing such a quality committee at Xerox, management should encourage the members to take certain steps that can help the committee be successful, because a poorly run committee wastes a lot of time. For example, the committee should develop a clear definition of its goals and the limits of its authority: Is it just going to come up with quality improvement ideas, or should it also take the initial steps toward implementing its ideas?

In addition, the quality committee should not have too few or too many members. Issues such as appointing a secretary to handle communications and appointing a chairperson who is people-oriented must be addressed. Such a quality committee needs someone who can rephrase ideas clearly to ensure that everyone understands; and someone who can get members to participate and think about the issues while avoiding "groupthink": Original ideas should be generated by the committee, not by a unanimous opinion because everyone is trying to avoid conflict.

Managers in companies such as Xerox must be patient and understand that it will take some time for a new group to develop into a productive working unit. The members in any new work group must start by trusting and accepting one another and then begin communicating and exchanging ideas. Once this acceptance and communication increases, group solidarity and control come naturally. The group members get involved, cooperate, and try to maximize the group's success.

With the quality committee that is being used as an example, Xerox management must be patient and let it mature before maximum effectiveness and productivity can be expected. If given time to grow, the group will function as a unit, members will participate willingly and effectively, and the group will reach valuable decisions about what needs to be done to improve the quality of equipment that Xerox offers.

Other issues regarding informal groups could affect the success of work groups at Xerox. Employee groups get together at times because of certain issues. For example, certain minority employees could get together as a group to increase the opportunities for their professional growth at Xerox; and employees form friendship groups, which ease communication and provide feelings of satisfaction in a company. In general, such informal groups can improve the work environment for everyone involved, so it can be advantageous for management to encourage their development.

Perhaps Xerox management could accelerate the development of a quality committee into a productive unit by including individuals who already know and trust one another through membership in one or more informal groups at Xerox. For example, some members of the newly formed quality committee might know and trust one another immediately as a result of membership on a company bowling or softball team. Under such circumstances, a trust developed among employees through past informal group affiliations could help the formal quality committee to develop into a productive group more quickly.

For a company such as Xerox to be successful, managers must be able to consider how formal and informal groups affect organizational productivity, and they need to determine what informal groups exist, know who the group members are, and understand how these groups form. Armed with this information, Xerox management can strive to make their work groups more effective.

One way management can get information about the groups at Xerox is to use sociometry. A questionnaire can be designed asking employees with whom they spend time, and a sociogram can be constructed to summarize this information. Managers could also do a more casual analysis by just talking to their employees and observing how they interact with one another.

Managers in a company such as Xerox should try to understand how informal groups evolve and should be aware that an organization's formal structure influences how the informal groups develop within it. For example, assume that in one department at Xerox, 30 people work on copier design. Many of them are interested in sports, have become friends because of this common interest, and work well together as a result. If a manager needed to make some changes in such a department, he or she should try to accommodate such informal friendship groups to keep employees satisfied. Only with very good reason should a manager of such a department damage the existence of the productive friendship group by transferring any informal group members out of the design department.

Managers in a company such as Xerox should consider the four major factors that influence work-group effectiveness. First, the size of the work group can be important to its productivity. A 20-person quality committee would probably be somewhat large and would hamper the group's effectiveness. Remember also, however, that managers should consider informal groups before making changes in group size. The quality committee could end up being less productive without one or more of its respected members than it would be if it were slightly too large.

Another important factor that influences work group effectiveness is group cohesiveness, because a more cohesive group will tend to be more effective. The Challenge Case mentions that the cohesiveness of the asset management work group at Xerox's Houston office was instrumental in its success. Evelyn Grubb increased the cohesiveness of her formal asset management group by doing such things as allowing members to take breaks together or rewarding informal group members for a job well done.

Group norms, or appropriate behaviors required within the informal group, are a third factor that affects the productivity of formal group behavior. Because these norms affect profitability, managers must be aware of them and understand how to influence them within the formal group structure. For example, assume that a smaller informal group of workers within Xerox's asset management department normally maintains the quality of asset management by focusing mainly on tracking the durability of Xerox equipment. Unfortunately, because of this quality norm, the informal group members are taking too much time tracking durability and too little time servicing customer requests via e-mail feedback. Management could try to improve this situation by giving bonuses to group members who best service e-mail requests while tracking equipment durability. This reward would probably increase the formal group productivity while encouraging a positive norm within the informal group.

Status within the informal groups also affects work group productivity. For example, if Xerox managers want to increase productivity for a group, management should try to encourage the informal group's leaders, as well as the group's formal supervisor. Chances are that a targeted group will become more productive if its informal, high-status members support that objective.

Overall, if the company wants to maximize work group effectiveness, management must remember both the formal and informal dimensions of its work groups while considering the four main factors that influence work group productivity.

# MANAGEMENT SKILL ACTIVITIES

This section is specially designed to help you develop team skill. An individual's team skill is based on an understanding of team concepts and the ability to apply those concepts in management situations. The following activities are designed to both heighten your understanding of team concepts and to develop the ability to apply those concepts in a variety of management situations.

## UNDERSTANDING TEAM CONCEPTS

To check your understanding and to practice using the concepts in this chapter, go to www.mymanagementlab.com and explore the material associated with Chapter 18.

### Know Key Terms

Understanding the following key terms is critical to your understanding of chapter material. Define each of these terms. Refer to the page(s) referenced after a term to check your definition or to gain further insight regarding the term.

group **426**
formal group **426**
command group **426**
task group **427**
committee **427**
groupthink **429**
work team **430**
informal group **431**
interest group **432**
friendship group **432**
sociometry **432**
sociogram **432**
team **435**
problem-solving team **436**
self-managed team **436**
cross-functional team **436**
forming **437**
storming **437**
norming **438**
performing **438**
adjourning **438**

### Know How Management Concepts Relate

This section is comprised of activities that will sharpen your understanding of team concepts. Answer essay questions as completely as possible. Also, remember that additional true/false and multiple choice questions appear online at MyManagementLab.com to help you further refine your understanding of team concepts.

1. What is the difference between formal and informal groups? Explain how you would manage each type of group in helping an organization achieve success.
2. What is the difference between a group and a team?
3. As a manager, would you ever create a team that is both problem-solving and cross-functional? Explain.
4. What signs would you look for as a manager to indicate that a team in your organization is "storming"? What would you do if the team was indeed "storming"? Why?
5. What is the role of trust in building effective teams? As a manager, how would you build trust within a team?

# DEVELOPING MANAGEMENT SKILLS

*Learning activities in this section are aimed at helping you develop management skill. Learning activities include Exploring Your Management Skill: Parts 1 and 2, Your Management Skill Portfolio, Experiential Exercises, Cases, and a VideoNet Exercise.*

### Exploring Your Management Skill: Part 1

Before studying this chapter, respond to the following questions regarding the type of advice you would give to Xerox's Alan Asher, referenced in the Challenge Case. Then address the concerning team challenges managers face within the company. You are not expected to be a team expert at this point. Answering the questions now can help you focus on important points when you study the chapter. Also, answering the questions again after you study the chapter will give you an idea of how much you have learned.

Record your answers here or go to MyManagement Lab.com. Recording your answers in MyManagementLab will allow you to get immediate results and see how your score compares to your classmates. If you answer the questions in the book, the answers are located in the Exploring Your Management Skill Appendix at the end of the book.

FOR EACH STATEMENT CIRCLE:

- "Y" if you would give the advice to Asher.
- "N" if you would NOT give the advice to Asher.
- "NI" if you have no idea whether you would give the advice to Asher.

*Mr. Asher, in meeting your team challenges at Xerox, you should . . .*

*Before After*

*Study Study*

1. try to eliminate informal groups whenever possible.
   Y, N, NI
2. incorporate "groupthink" into your team process to increase the accuracy of team decisions.
   Y, N, NI
3. know that the acceptance stage of formal group development is characterized by group members communicating frankly to one another.
   Y, N, NI
4. try to increase the overall desirability of the work environment by encouraging the development of informal groups.
   Y, N, NI
5. try to apply the basic concepts of sociometry in attempting to determine the members of informal groups.
   Y, N, NI
6. remember that informal groups commonly develop to provide safety and growth for their members, which is more difficult to obtain through formal group membership.
   Y, N, NI
7. know that *groups* and *teams* are synonymous concepts.
   Y, N, NI
8. understand that teams you establish can be self-managed as well as cross-functional.
   Y, N, NI
9. help developing teams to work though "norming" before "performing."
   Y, N, NI
10. try to bypass "storming" in the team development process.
    Y, N, NI
11. sometimes enhance organizational stability and job security to enhance team effectiveness.
    Y, N, NI
12. try to build effective work teams by developing clear objectives and deemphasizing technical direction.
    Y, N, NI
13. build the trust a team has for you by being predictable.
    Y, N, NI
14. sometimes demonstrate your competence to build the trust a team has for you.
    Y, N, NI
15. focus on building trust as opposed to open communication in building team effectiveness.
    Y, N, NI

## Exploring Your Management Skill: Part 2

As you recall, you completed Exploring Your Management Skill before you started to study this chapter. Your responses gave you an idea of how much you initially knew about teams and helped you focus on important points as you studied the chapter. Answer the Exploring Your Management Skill questions again now and compare your score to the first time you took it. This comparison will give you an idea of how much you have learned from studying this chapter and pinpoint areas for further clarification before you start studying the next chapter. Record your answers within the text or go to MyManagementLab.com. Recording your answers in MyManagementLab will allow you to get immediate results and see how your score compares to your classmates. If you answer the questions in the book, the answers are located in the Exploring Your Management Skill Appendix at the end of the book.

## Your Management Skills Portfolio

*Your Management Learning Portfolio is a collection of activities especially designed to demonstrate your management knowledge and skill. By completing these activities online at MyManagementLab.com, you will be able to print, complete with cover sheet, as many activities as you choose. Be sure to save your work. Taking your printed portfolio to an employment interview could be helpful in obtaining a job.*

*The portfolio activity for this chapter is Using Committees and Teams in Accomplishing Florida Hospital's Mission. Read the following highlight about Florida Hospital and answer the questions that follow.*[50]

Florida Hospital, a Christian-based Adventist Health System hospital, is an acute-care health care system with 3,025 beds throughout Central Florida. Florida Hospital treats more than one million patient visits each year. In fact, the Florida Hospital system is the busiest system in the country. For the last six years, *U.S. News & World Report* has recognized Florida Hospital as one of "America's Best Hospitals."

Florida Hospital offers a wide range of health services for the entire family, including many nationally and internationally recognized programs in cardiology, cancer, diabetes, and digestive health. Because Florida Hospital performs more complex cardiac procedures than any other facility in the country, MSNBC selected Florida Hospital as the premier focus of their hour-long special—"Heart Hospital."

Florida Hospital's mission statement appears in Exhibit 1.

**EXHIBIT 1** Florida Hospital Mission Statement

***To Our Patients***

Our first responsibility as a Christian hospital is to extend the healing ministry of Christ to all patients who come to us. We endeavor to deliver high-quality service, showing concern for patients' emotional and spiritual needs, as well as their physical condition. It is our desire to serve patients promptly, with consideration and dignity.

***To Our Employees***

We are responsible to our employees and depend upon their teamwork. We show concern for the whole person, respecting each worker's individuality and listening to each one's concerns and suggestions. We pay fair wages and offer clean and safe working conditions. We provide opportunities for our employees' professional growth and development.

***To Our Medical Staff***

We are responsible to the doctors who are the leaders of the medical team. We provide them with a professional environment, state-of-the-art medical facilities and equipment, and trained support staff. We strive to process their requests for patient care accurately and in a timely manner.

***To Our Community***

We are responsible to our community both as an organization and as individuals. We must be a strong corporate citizen with interests in the total community welfare, not just those aspects in which we have a business interest. We maintain and use our buildings and grounds to enhance the interest of the community.

***To Our Future***

We are responsible for the future success and security of our institution's resources. We protect our financial investments through responsible fiscal management, strategic planning and effective marketing. We cultivate and protect the preferred patronage of patients, doctors and businesses.

***To Our Religious Heritage***

In response to the Seventh-day Adventist faith and heritage upon which Florida Hospital is built, we celebrate the healing ministry of our Lord, encourage preventive health care practices, respect the seventh-day Sabbath, and observe high moral and ethical standards.

***To Our God***

We are responsible to communicate through caring service that God is a loving, gracious and protecting Father who places infinite value on every individual and is worthy of our admiration, affection and willing commitment.

## Learning Activity

Assume that you are the president of Florida Hospital and have decided to establish a hospital-wide committee to monitor and ensure the accomplishment of the hospital's mission. Answer the following questions to outline how you would form this committee and mold it into an effective work team.

**1.** What reason(s) could you use to explain to your employees why you are instituting this committee at Florida Hospital?

**2.** List four procedures you will have the committee follow as it does its work. Be sure to explain the value of each procedure.

**Procedure 1:**

**Value of Procedure 1:**

**Procedure 2:**

**Value of Procedure 2:**

**Procedure 3:**

**Value of Procedure 3:**

**Procedure 4:**

**Value of Procedure 4:**

3. Outline what you would say to the committee to encourage it to function as a team as opposed to a group.

4. Would you make the committee aware of the stages of team development? Explain.

**5.** How would you help the committee members develop trust for one another? Be as specific as possible.

## Experiential Exercises

### 1 Planning Your Team Development Program

*Directions.* Your instructor will divide your class into small groups of about five and appoint a discussion leader for each group. Each group is to evaluate the Mountain Top Game that appears here as a team-building activity. Decide whether you would use the activity as a real manager trying to build a real team in your organization. You would be the instructor or the one actually administering the game. Be sure to explain why the group does or does not believe that the exercise would be useful. After all groups have finished discussion, the instructor will lead a discussion of the entire class focused on conclusion of the small groups.

Mountain Top Game[51]

**Objective:**

For group members to work together for the good of the group

**Group Size:**

8 to 15 is ideal

**Materials:**

- A rope hanging from the ceiling (i.e., gym climbing rope)
- Rope or other boundary marker
- 2 coffee cans or similar height blocks or cans
- 1 pole, stick, or piece of pipe about 1inch in diameter

**Procedure for Administering the Game:**

Set up the two coffee cans with a pole set horizontally across them about three or four feet to one side of the rope. On the other side of the rope, use a different piece of rope to make a circle that the whole group can stand in. For added challenge make the circle small so the group must work together to stand in it without falling out of the boundary. This circle should be about three to four feet from the rope as well.

Set this activity up by telling a story that requires the group to get from a cliff to a mountain top some distance away. Starting behind the "cliff" (pole) they must get hold of the climbing rope without stepping off the "cliff." Once they have the rope, they must swing across to the other side and land on the "mountain" (the rope circle). Only one person may go across at a time. If anyone steps out of the boundary, knocks the pole off of the cans, or touches the ground, the group must start over. For safety reasons, the leader should stand near the climbing rope to catch anyone who falls.

**Possible Questions for Leading Discussion After the Game:**

1. How did the group come up with a plan?
2. How did the order that you were in factor into the plan?
3. How did you ensure your teammates were safe during this activity?
4. How would this activity have been different if there was a real cliff and a real mountain top?
5. Would you trust your teammates if it were real? Why or why not?
6. How can you build trust as a team?

**Variations:**

- Give group members things to carry with them to the mountain for an added challenge.
- Set up a low platform for the group to stand on in place of the circle.

### 2 You and Your Career[52]

The Randstad Group is one of the largest temporary and contract staffing organizations in the world. The company has subsidiaries in Europe, North America, and Asia with about 13,000 employees. On average, the company places about 250,000 people in other companies every day. The company is trying to win the loyalty of its own young employees by pairing them in two-person teams with older, more experienced employees. Every new sales agent is assigned a partner to work with until their business has grown to a certain size, which usually takes a few years. Neither person is "the boss." Each employee is expected to teach the other. Then they both start over again with someone who has just joined the company. The company's motto is "Nobody should be alone."

Would you like to start your career in this program? Why? As an experienced hand, would you like to be involved in this program about mid-career? Why? Why do you think the company instituted this program?

# CASES

## 1 TEAMWORK SPREADS AT XEROX

"Teamwork Spreads at Xerox" (p. 425) and its related Challenge Case Summary were written to help you better understand the management concepts contained in this chapter. Answer the following discussions about the Challenge Case to better understand how concepts relating to groups and teams can be applied in a company such as Xerox.

1. Describe the characteristics of an effective work team at Xerox.
2. As a manager at Xerox, what steps would you take to turn a work group into an effective team? Explain the importance of each step.

## 2 BEST BUY'S EXTREME TEAM BUILDING

*Read the case and answer the questions that follow. Studying this case will help you better understand how concepts relating to team building can be applied in a company such as Best Buy.*

When executives at the electronics retailing giant, Best Buy, decided they wanted to build teams while fostering innovation, they took an extreme move. Imagine telling a group of employees that they will have to set their lives—personal and professional—on hold for more than two months. Further, they'll have to spend that time with a group of strangers every single day and night. That's exactly what this Minnesota-based company did. And the payoff has been huge.

Best Buy is no stranger to innovation or success. Although the company started in 1966 under the name of Sound of Music, it wasn't until the 1980s that the chain really hit its stride with the development of the super store. This concept revolutionized how consumers purchased electronics. Rather than samples of items appearing on store shelves, Best Buy put all its stock on the floor, enabling customers to try out different products and ultimately take home what they liked without waiting for an employee to select a box from a warehouse inventory. The other major innovation was hiring and training store employees who didn't rely on commissions for their income. This practice created an impartial and very knowledgeable salesforce customers could rely on.

Thus, when executives wanted to sequester a team of store employees for 10 weeks, it took very few people at the company by surprise. The new CEO of Best Buy, Brian Dunn, knows how it feels to be a sales floor associate—he started his career at the company as one in 1985. He fully supports efforts that result in innovation and continues to build Best Buy's reputation as *the* place to go for consumers. "We want to become a digital playground," he said, "where people come in, experience it, try it, and find out how all these things can work together around their life." (Edwards)

So recently, the company tried something completely new. They chose groups of sales associates—all in their 20s and 30s—and put them up in an apartment complex in Los Angeles. In making a comparison to a popular program on MTV, one of the participants remarked, "My friends joked and said I was joining *Real World: Best Buy Edition*" (Jana). Indeed, the situation was very similar. These sales associates—strangers to one another—found themselves thrown together and had to establish bonds quickly. Naturally, since the team was in Los Angeles, some—of the time was spent at the beach, but they also found themselves working longer hours and talking about how Best Buy could improve.

The goal of the 10-week program was to develop ideas for the company. One of those ideas was Best Buy Studio. This new venture provides Internet consulting for small businesses. It enables entrepreneurs, who could not otherwise afford to hire full-time Web designers, to create Web sites. The idea, crafted during the 10 weeks, was approved and supported by top executives at Best Buy. So far, Best Buy Studio is only in a few West Coast stores, but could expand to other areas soon.

Dunn believes that team building situations like this foster ideas that may not emerge otherwise. "Employees don't need permission to create or innovate," he said. (Jana) But, incubators such as this one certainly create a climate where employees are free to pursue concepts that they may not have considered during the course of a busy workday. Participants are forced to get to know one another very rapidly and also understand that the time together is an opportunity to create something positive. Some of the ideas may not ever come to fruition, but those that do are likely to be very well-thought and have a great deal of buy-in from those involved in the creative process.

After Circuit City folded in 2009, Best Buy found itself in a strong position with few competitors, and they have continued to experience growth. The company has revenues of nearly $50 billion and has approximately 180,000 employees. Its success can be attributed to the innovative steps they take, but also the solid teamwork that is shared among associates. Dunn, who rose through the ranks of the company, feels that change and innovation are what keep the company not only alive, but thriving while other competitors have fallen by the wayside. "The easiest changes are when you are backed up against the corner and it's sort of 'change or perish,'" he said. "Now we're trying to change at a time when we are very, very successful" (Edwards).

### QUESTIONS

1. Consider the 10-week incubator program Best Buy uses. Would you characterize this as a group or a team? Why?

2. If you were in charge of managing this 10-week program, how would you ensure that an effective team emerges? How would you help build trust among participants?
3. What challenges do you think might exist in thrusting a group of strangers together in isolation for 10 weeks? How would you overcome those challenges?

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# Exploring Your Management Skill Answers

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